

Tracy *the Mortgage Lady*

INVESTOR GUIDE

What Is a DSCR Loan?

A plain-English guide for real estate investors • By Tracy Freeman, NMLS #2174804

If you've ever tried to finance a rental property with a traditional mortgage, you know the drill: W-2s, two years of tax returns, pay stubs and a deep dive into your personal income. For many self-employed investors, or anyone whose tax returns show plenty of write-offs, that process can stop a good deal in its tracks.

That's where a DSCR loan comes in.

Qualifying on the property, not your paycheck

DSCR stands for **Debt Service Coverage Ratio**. Instead of asking whether *you* earn enough to cover the mortgage, a DSCR lender asks whether *the property* earns enough to cover it.

The math is simple:

DSCR = Monthly rental income ÷ Monthly housing payment

The housing payment includes principal, interest, property taxes, insurance and any HOA dues. If a property rents for $2,400 a month and the full payment is $2,000, the DSCR is 1.2. The property brings in 20% more than it costs to carry. A ratio of 1.0 means the rent covers the payment exactly. Requirements vary by lender and program, which is why it pays to work with someone who knows which programs fit your numbers. You can run your own numbers with the DSCR calculator.

No W-2s. No tax returns.

This is the biggest reason investors love DSCR financing. **You don't need W-2s or tax returns to qualify.** The loan is underwritten mainly on the property's income, along with your credit and the property itself. That makes DSCR loans a strong fit for:

- ✓ **Self-employed borrowers and business owners** whose tax returns show reduced income
- ✓ **Full-time investors** without a traditional job
- ✓ **Growing investors** who have reached the limits of conventional financing
- ✓ **Anyone who wants a faster, simpler process** without stacks of personal income paperwork

More than single-family homes

DSCR loans aren't limited to one rental house. They can be used for single-family homes, condos, townhomes and small multifamily properties. **DSCR financing is available for properties up to 10 units**, which gives you room to grow from your first rental into a real portfolio.

They also fit several strategies. You can buy a new rental, do a cash-out refinance to pull equity for your next deal, or refinance out of a short-term fix and flip loan once the property is renovated and rented.

Investing beyond your backyard

Many investors look for opportunities outside their home market. Tracy the Mortgage Lady can originate **DSCR loans in most states**. Whether you're buying in Central Florida or across the country, you can work with one trusted loan officer as your portfolio grows.

There is no one-size-fits-all loan

Every investor's goals are different, and so is every deal. A DSCR loan may be the right tool for one property, while bank statement financing or a fix and flip loan may suit the next one better. **There are more options for your real estate strategy** than most people realize.

Tracy Freeman is a real estate investor herself and a former nurse. She brings care and attention to every client conversation. She'll take the time to understand your goals, review your numbers and match you with the program that fits.

Ready to see if a DSCR loan works for your next property? Call or text Tracy at 352-223-0712. Or learn more about DSCR loan programs.

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